



ROWAD
MODERN ENGINEERING

Evaluation of External Providers Process

P-PR-02

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	Effective Date: April, 2024	Rev. No.: 02	Doc. No.: P-PR-02

1. OBJECTIVES

The objectives of this process to assess and control the performance of the external providers such as supplier and/or subcontractors and to apply criteria for the evaluation, selection, monitoring of performance, and re-evaluation of external providers, based on their ability to provide processes or products and services in accordance with specific requirements.

2. STAKEHOLDER

- All Departments
- Vendors

3. LIABLE STAKEHOLDER

- Department Representative
- Procurement Representative
- Purchasing Department
- QC
- HSE
- Legal
- Contracts

4. TERMS AND DEFINITION

CRM: Customer Relationship Management (Website)

Hod: Head of Department

ID: Identity

DR: Department Representative

VMO: Vendors Management Office

5. RELATED DOCUMENTED INFORMATION

- Subcontractor and Supplier Factory Evaluation Report, F-P-PR-02-02
- Subcontractor Site Evaluation Report, F-P-PR-02-03
- Supplier/Subcontractor Initial Evaluation Form, F-P-PR-02-04
- Supply Apply Subcontractor Periodic Evaluation, F-P-PR-02-05
- Supplier Performance Evaluation, F-P-PR-02-06
- Service Provider Periodic Evaluation, F-P-PR-02-07
- Rowad Vendor Tree for external providers, F-P-PR-02-08

- Approved Vendor List, F-P-PR-02-09
- Apply Subcontractor Periodic Evaluation, P-PR-02-10

6. PROCESS DETAILS

6.1 PROCESS INPUT

- Vendor Data
- Evaluation Forms
- Registration Data

6.2 Process Operations

Sr.	Process Cycle Description	Responsibility	Form
1	Registration Process: - According to departments' requirements for new vendors, registration should be via the Rowad website. - Incase registration is not applicable for the new vendor, department representative i.e., (VMO, Tendering, Formwork, logistics, etc.) will assist in data input via "ROWAD website" - New vendor to select the main scope/department via Rowad website, to fill up the requested criteria accordingly. - An option for adding more scope is available, so initial evaluation can be delegated to the secondary scope in case of rejection regarding the main scope/department.	Department Representative	Rowad Vendor Tree for external providers F-P-PR-02-08
2	The new/nominated vendors are identified via Rowad website by their tax no. Incase self-executors, registration can be identified by ID no.	Department Representative Engineer	
3	Verification via CRM shall be done by procurement representative to ensure the registered data and contact the vendors (if needed), then vendor data to be transferred to unifier to complete evaluation by the concerned departments and select one of the following within 24 hrs.: Conduct a Site Visit/Factory visit (if needed). Conduct the initial Evaluation.	Department Representative Concerned Department	
4	Site Visit/Factory Visit: The concerned department e.g., Equipment, procurement, QC, Operation, purchasing, etc. may visit the supplier/subcontractor premises to conduct evaluation on factory/site If required within 8 working days.	Concerned Department QC	Subcontractor & Supplier Factory Evaluation Report F-P-PR-02-02

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Sr.	Process Cycle Description	Responsibility	Form
			Subcontractor Site Evaluation Report F-P-PR-02-03
5	Initial Evaluation: All parties (HoD, Legal, HSE, QC) shall evaluate the vendor as per the criteria mentioned in the initial evaluation form, and data/attachments in the registration form prior to CS and subcontract agreement preparation.	All Concerned Parties	Vendor Initial Evaluation Form F-P-PR-02-04
6	The vendor list status will be updated with the score of the initial evaluation accordingly.		Approved Vendor List F-P-PR-02-09
7	After initial evaluation done by all concerned parties covering all the parameters mentioned in the initial evaluation form along with the premises visit (if any), minimum score of 60% to be selected (average weight of initial 20% & Factory/Site 80%) (if applicable). Initial evaluation shall be done within 2 working days. In case initial evaluation is not carried out after the said period, several notifications will be sent to the related department's manager, and if still no action taken for 2-months, registered vendor process will be terminated.		
8	Supplier/Subcontractor that meets the above criteria, his score shall be added in the vendor list, and identified with a unique code generated by Oracle.	Finance	Approved Vendor List F-P-PR-02-09
9	Categorization for Selection of Suppliers/Subcontractors: The concerned department shall further categorize the approved supplier/subcontractor as per the below criteria: - Volume in hand (3 points) - Technical Support (3 points) - Safety Measures (3 points) - Certificate's availability (3 points) - Financial capabilities (3 points) - Quality Measures (3 points) - Production Capacity (3 points) Strong (3) – Moderate (2) – Weak (1) A= 21-19 B= 18-16 C= 15-13 Categorization can be updated after every evaluation, if required.	Concerned Department	
10	Initial evaluation to be conducted for inactive suppliers/subcontractors (didn't participate in any activity)		

Sr.	Process Cycle Description	Responsibility	Form
	for 2 years) and the documents will be renewed every 6 months		
11	Monitoring the periodic evaluation of vendors: The performance of the suppliers/subcontractors shall be monitored periodically every 3 months in-case if it is a short-term project (less than 6 months) and 6 months for a normal/long term project, effective from the commencement date (or before the said period, if required), and before released the final invoice.		
12	The department representative shall send an e-mail to all the concerned parties (Site Team) & who should be involved in the periodic evaluation of the supplier/subcontractors by using "Subcontractor/Supplier/Service providers performance Evaluation" form.	DR	Supply Apply Subcontractor Periodic Evaluation F-P-PR-02-05 Supplier Periodic Evaluation F-P-PR-02-06 Service Periodic Evaluation F-P-PR-02-07 Apply S/C Periodic Evaluation F-P-PR-02-10
13	Maximum within 10 days, all concerned parties shall send the feedback information about the supplier/subcontractor's performance to the department representative.	All Concerned Parties	
14	Criteria for evaluation of Supplier /Subcontractor: For evaluation score of 60% or less, the HoD shall coordinate with the Project Manager & Contracts Manager to terminate/block the vendor in the vendor list with the approval of COO, or to inform the supplier /subcontractor	HoD Project Manager Contracts Manager	

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Sr.	Process Cycle Description	Responsibility	Form
	with official letter, informing him about his performance evaluation results for his corrective actions.		
15	Supplier/subcontractor evaluation score more than 60% to 75%, should be accepted with close monitoring interval, higher than 75% score, shall be accepted.		
16	In case the vendor is working in parallel for more than one scope/department/project, evaluation will be done separately, and the average will be estimated, then action will be taken as mentioned in point no. 14 &15.	HoD	

6.3 PROCESS OUTPUT

- Registered data for Supplier/Subcontractors (Rowad Website)
- Supplier/Subcontractor Initial Evaluation
- Approved Vendor List (Unifier)
- Supplier/Subcontractor Performance Evaluation

7. PROCESS RISK ASSESMENT

Included in the risk register form No. F-P-QD-05-01 "Risk identification and assessment" maintained by the HOD, along with the action plan to address risks and opportunities".

8. PROCESS CONTROL

Head of Departments shall review the evaluation.

9. PERFORMANCE MEASURES

- Analysis of results between first evaluation and periodic evaluation of Subcontractors & Suppliers.
- Planned vs actual evaluation dates.
- Action taken for the low-grade suppliers or subcontractors.

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
01	00	New process	01/12/2016
02	01	All Points	22/06/2021
03	02	Points 1 to 7 ,9, 10, 12, 13 & 16	01/04/2024